



1. The Strategic Plan

A) The Strategic Planning Model

This is a 3-step process. Be sure to know the order and what each step contains.

1. **Where are you now?** ¹
 - This involves a **Strategic Assessment** of the internal and external environment².
2. **Where you want to be?** ³
 - This is defined by your **Values, Vision, and Business Model**⁴.
3. **How to get there?** ⁵
 - This is your **Integrated, High-Level Plan**, which includes your strategies and objectives⁶.

B) Strategic Planning for Marketing Communication

This is a key definition that breaks down Strategy and Tactics.

- **Definition:** The process of:
 1. **Identifying a problem** solvable with marketing communication⁷.
 2. Determining **Objectives** (what you want to accomplish)⁸.
 3. Deciding on **Strategies** (how to accomplish the objectives)⁹.
 4. Implementing **Tactics** (the specific actions that make the plan come to life)¹⁰.

C) Creativity in Advertising

A "creative solution" is not just an idea; it must have 3 attributes (This is a perfect MCQ list):

1. It is **New** (otherwise it's not creative)¹¹.
2. It is **Useful** (it solves the problem)¹².
3. It is **Feasible** (it works within real-world constraints like money and time)¹³.

? 2. The 4 Key Questions for Understanding the Customer

This is the core of the lecture. The slides and other files provide specific frameworks to answer each question.

A) WHAT does the customer value?

Answer: The Value Proposition Canvas (VPC)

The VPC is a tool to create a "fit" between what you build and what the customer wants. It has two sides, and you must know all 6 components.

Side	Component	Description (from slides & video)
Customer Profile (The Circle)	Customer Jobs ¹⁴	The tasks, problems, or needs the customer is trying to get done.
	Pains ¹⁵	The "annoyances," risks, and negative outcomes the customer experiences.
	Gains ¹⁶	The desired positive outcomes, benefits, and aspirations.
Value Proposition (The Square)	Products & Services ¹⁷	The list of what you offer.
	Pain Relievers ¹⁸	How your product <i>specifically</i> alleviates the customer's Pains.

	Gain Creators ¹⁹	How your product <i>specifically</i> produces the customer's Gains.
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- **Goal of the VPC:** To achieve "**Fit**"—when your Pain Relievers and Gain Creators directly address the Customer's Pains and Gains.

B) WHY does the customer value?

Answer: Maslow's Hierarchy of Needs

This theory explains the motivation (the "why") behind customer actions. Needs are in a pyramid, and lower-level needs must be met before higher-level ones become the primary motivator.

- **Level 1: Physiological Needs** (Bottom)
 - Basic survival: food, water, shelter, sleep.
- **Level 2: Safety Needs**
 - Security, stability, freedom from fear, health.
- **Level 3: Love and Belonging Needs**
 - Friendship, family, intimacy, sense of connection.
- **Level 4: Esteem Needs**
 - Self-esteem, achievement, respect from others, status.
- **Level 5: Self-Actualization Needs** (Top)
 - Achieving one's full potential, creativity, personal growth.

C) HOW does the customer value?

Answer: Through a "Package" of Value (Case Study: Starbucks)

"How" refers to the form or package in which the value is delivered. The Starbucks PDF provides two perfect examples.

1. **The "Third Space" Concept:**
 - Starbucks' most famous strategy was creating a "**third space**"²⁰.
 - This is a comfortable, accessible place that is **not work (1st space) and not home (2nd space)**²¹. This "space" itself is *how* they deliver value beyond just coffee.
2. **"Strategic Inauthenticity":**

- This is the "sly" strategy of making an "elite" product accessible to the masses²²²²²².
- **Inner Circle:** The "aficionados" and "experts" who want the "pure" product (e.g., strong, bitter, authentic Italian espresso)²³²³²³²³. This group is small.
- **Outer Circle:** The "dabblers," "amateurs," and "newbies"²⁴. This group is **much larger** and wants an *easier, more palatable* version.
- **How Starbucks did it:**
 - They captured the *feel* of authentic coffee (Italian-sounding names like "Venti," "Grande")²⁵²⁵²⁵²⁵.
 - ...but they "watered it down" to appeal to the Outer Circle²⁶.
 - Examples: "Messed up the sizes" (e.g., 'Tall' is the smallest)²⁷, and **"Added the sugar"** (e.g., Frappuccinos)²⁸.

D) WHEN does the customer value?

Answer: Generational Cohorts (Target Audiences)

"When" can refer to the customer's life stage, which is often grouped by generation. The slides list five major cohorts²⁹:

- **Traditionalists** (1927-1945)
 - **Baby Boomers** (1946-1964)
 - **Gen X** (1965-1980)
 - **Gen Y** (Millennials) (1981-2000)
 - **Gen Z** (Born after 2000)
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1. WHAT Does the Customer Value?

- **Technical Framework:** The **Value Proposition Canvas (VPC)**.
- **Explanation:** The "What" is not the product itself, but the *fit* between your solution and the customer's needs. The VPC maps the **Customer Profile** (their *Jobs-to-be-Done*, *Pains*, and *Gains*) to your **Value Map** (your *Products/Services*, *Pain Relievers*, and *Gain Creators*). A customer values a *solution* that directly addresses their profile.

- **Example:**
 - **Product:** An accounting software.
 - **What they value:** Not the software (the product), but the *solution* it provides.
 - **Job:** "File my annual taxes."
 - **Pain:** "I'm afraid of making a mistake."
 - **Gain:** "I want to get the maximum possible refund."
 - The customer values the *Pain Reliever* ("Error-checking feature") and the *Gain Creator* ("Refund optimizer tool").
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2. WHY Does the Customer Value It?

- **Technical Framework: Maslow's Hierarchy of Needs** (Psychological Drivers).
 - **Explanation:** The "Why" is the underlying *motivation* for the purchase. It explains the fundamental human need the customer is trying to satisfy, which can range from basic survival to high-level personal fulfillment.
 - **Example:**
 - **Product:** A *Disprin* (aspirin) and a *Rolex* (luxury watch).
 - **Why (Disprin):** To satisfy a **Safety Need** (health, pain relief). The motivation is to remove a physical problem.
 - **Why (Rolex):** To satisfy an **Esteem Need** (status, achievement, respect from others). The motivation is to gain social and personal recognition.
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3. HOW Does the Customer Value It?

- **Technical Framework:** The **Delivery Model** or **Value Package** (e.g., "The Third Space" concept from your Starbucks file).
 - **Explanation:** The "How" is the *form* or *context* in which the solution is delivered. It's the *experience* and *package* that wraps around the core product, which can be just as important as the product itself.
 - **Example:**
 - **Product:** A cup of coffee.
 - **How they value it:** Customers don't just value the coffee; they value *how* Starbucks delivers it. The value is packaged as the **"Third Space"**—a comfortable, clean, reliable environment (not home, not work) with Wi-Fi, good music, and comfortable seating. That *experience* is the "how."
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4. WHEN Does the Customer Value It?

- **Technical Framework: Generational Cohorts or Life-Stage Context.**
 - **Explanation:** The "When" refers to the *timing* in a customer's life or the *context* of their generation. A customer's priorities, values, and how they want to be communicated with change drastically based on their age and life stage (e.g., student vs. parent vs. retiree).
 - **Example:**
 - **Product:** A banking service.
 - **When (Gen Z):** A 20-year-old **Gen Z** member values this "when" they can access it instantly *on their phone*. They value a high-tech, 24/7 mobile app with no physical branches.
 - **When (Baby Boomer):** A 65-year-old **Baby Boomer** might value the *exact same* service "when" they can speak to a trusted human teller at a physical branch during business hours.
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The **AIDA model** is a classic advertising framework that describes the four sequential stages a customer goes through before making a purchase.

It's called a "**Hierarchy of Effects**" because the customer must pass through one stage to get to the next, like climbing a ladder.

Here are the four stages:

1. **A = Attention (or Awareness)**
 - **What it is:** The first step. The ad must grab the customer's attention and make them aware that your product or brand exists.
 - *Example:* A colorful, disruptive billboard on a busy highway.
2. **I = Interest**
 - **What it is:** Once you have their attention, you must generate real interest. This is where you focus on the product's *benefits* and how it solves their problem.
 - *Example:* The billboard lists a key benefit: "50% faster internet."
3. **D = Desire**
 - **What it is:** This stage moves the customer from "I like it" to "I *want* it." This is about building an *emotional connection* and making the product irresistible.
 - *Example:* The ad shows a family happily streaming movies, making the customer *desire* that same seamless experience.
4. **A = Action**
 - **What it is:** The final step. The ad must prompt the customer to *do* something specific. This is the **conversion**.
 - *Example:* The ad includes a strong call to action, like "Call now for a 30-day free

trial!" or "Click here to buy!"